

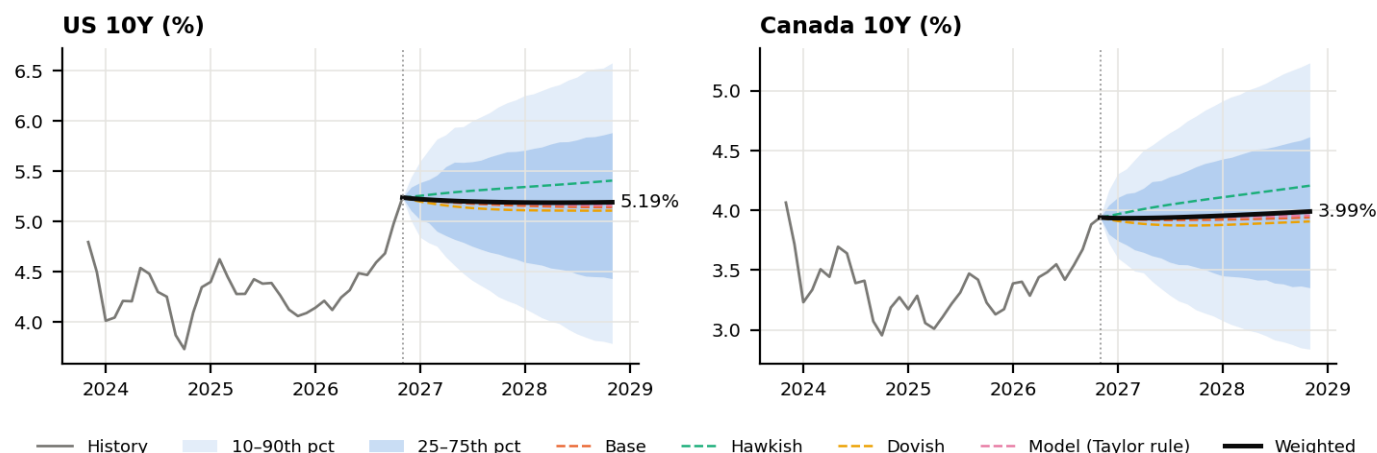
US & Canada 10-Year Yield Outlook — Q3 2026

Two-year scenario-weighted forecast · data through Oct 2026 · generated 03 Oct 2026

Our scenario-weighted model holds the US 10Y near 5.2% (5.24% now, 5.19% by Oct 2028) and lifts Canada 10Y slightly to 3.99%, as a 30 bp fiscal premium offsets Fed easing toward neutral.

	Current	Oct 2028 (weighted)	Change	10–90th pct	Policy rate now → end
US 10Y	5.24%	5.19%	-5 bps	3.79–6.58%	Fed 3.88% → 3.17%
Canada 10Y	3.94%	3.99%	+5 bps	2.84–5.23%	BoC 2.25% → 2.65%

Our scenario-weighted model sees the US 10Y broadly flat, moving from 5.24% to 5.19% by Oct 2028. Canada edges up from 3.94% to 3.99% as the Canada–US spread narrows to -120 bps. Fed easing toward a 3.125% neutral and a fading basis offset a 30 bp fiscal premium and firmer term premium. Bands are wide (3.79–6.58% US), and 10Y yields rarely beat a random walk.



Quarterly forecast (quarterly averages, %)

Quarter	Fed funds	US 10Y	US 10–90th	BoC	Canada 10Y	CA 10–90th	CA–US spread
2026Q4	3.55	5.23	4.93–5.52	2.26	3.94	3.67–4.24	-1.29
2027Q1	3.37	5.21	4.73–5.80	2.27	3.93	3.51–4.42	-1.28
2027Q2	3.27	5.20	4.49–5.96	2.28	3.94	3.35–4.60	-1.26
2027Q3	3.22	5.20	4.31–6.09	2.35	3.94	3.21–4.74	-1.25
2027Q4	3.20	5.19	4.18–6.22	2.44	3.95	3.11–4.87	-1.24
2028Q1	3.19	5.19	4.05–6.30	2.51	3.96	3.02–4.97	-1.23
2028Q2	3.18	5.19	3.93–6.40	2.57	3.97	2.95–5.06	-1.22
2028Q3	3.17	5.19	3.83–6.51	2.63	3.98	2.88–5.17	-1.21
2028Q4	3.17	5.19	3.79–6.58	2.65	3.99	2.84–5.23	-1.20

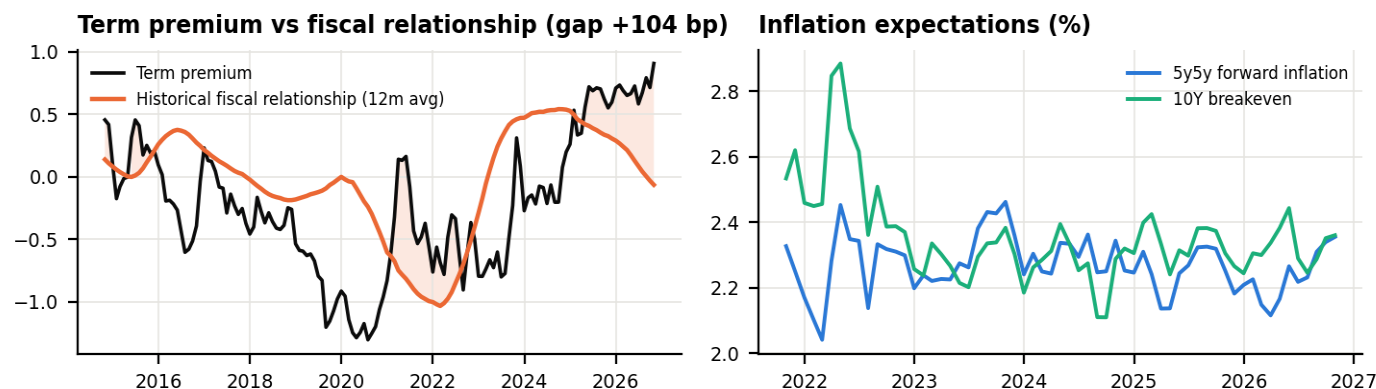
What moved yields: Jun 2026 → Sep 2026 (US 10Y +51 bps)

US 10Y change split	Component A	bps	Component B	bps
Expectations vs term premium	Expected short rates (risk-neutral)	+38	Term premium	+13
Real vs inflation	Real yield (TIPS)	+45	Breakeven inflation	+6
Front end vs curve	2Y yield (Fed expectations)	+52	2s10s slope	-1

The US 10Y rose 51 bps last quarter (4.47% to 4.98%, monthly averages). Expected short rates did most of the work (+38 bps vs +13 bps term premium), and the 2Y rose 52 bps as the Warsh Fed hiked to 3.75–4.00%. Real yields led (+45 bps vs +6 bps breakevens) despite Brent up 34% to \$114, though 5y5y rose 12 bps to 2.34%.

Macro backdrop — fiscal, Fed, energy, geopolitics

- Fiscal: CBO lifted its deficit estimate to \$2.1tn, debt passed \$40tn and the August refunding cleared at roughly 20-year-high yields. The forecaster's outlook is worse than the priced baseline (deficit +2pp, debt +3pp), adding about 30 bps of fiscal premium on average across the two channels.
- Risk premia: the term premium sits about 104 bps above the fair value implied by debt, deficits, the Fed balance sheet and rate volatility (R^2 0.61). That points to supply, AI-related corporate issuance and policy uncertainty beyond fundamentals, and it leaves room for a sharp move either way.
- Fed policy and independence: Warsh's 12–0 hike and his insistence that 'there's only a target and it's 2%' support credibility. Even so, 5y5y drifted higher, and Powell remaining on the Board amid administration attacks keeps independence risk alive.
- Energy and geopolitics: the Iran war drove crude sharply higher, and August CPI hit 3.4% with energy up 16.3%. Core slowed to 2.4%, however, so markets priced tighter policy and higher real rates rather than inflation compensation, even as Michigan year-ahead expectations jumped to 4.6%.
- Labour: payroll surprises swung hike pricing. August's +162k revived bets. After quarter-end, September's +29k with 60k of downward revisions faded October hike odds that had reached 64%.



Macro outlook — next two years

Over the next two years the model expects policy to normalise rather than tighten further. The weighted fed funds path falls from 3.88% to 3.17%, close to the 3.125% neutral, as the energy shock fades, core inflation stays contained and the labour market softens. That would normally pull 10Y yields lower, but expectations contribute only -3 bps because current pricing already embeds this easing. The outlook instead hinges on risk premia. A 30 bp fiscal premium from a worse-than-priced deficit and debt path, plus a term premium drifting to about 1.0%, keeps the 10Y near 5.2%. With the term premium already 104 bps above its fundamentals-based fair value, supply, AI-related issuance and Fed credibility will decide whether yields break higher or retrace.

Driver	Outlook	10Y impact
Fiscal & supply	The forecaster's deficit (+2pp) and debt (+3pp) revisions versus the priced baseline add about 30 bps in every scenario. Heavy refunding sizes and AI-related corporate borrowing compete for duration demand, lifting the term premium toward 1.02%.	↑ Higher
Fed policy	The base case (55%) returns fed funds to the 3.125% neutral as energy effects fade and labour data soften. The hawkish case (20%) holds near 3.62%. Because easing is largely priced, expectations trim only 3 bps from the 10Y.	↓ Lower
Inflation & energy	Brent near \$114 keeps headline inflation elevated while core runs near 2.4%, so real yields absorb most of the shock. Pass-through into core or survey expectations would revive hikes and the inflation-risk premium.	↑ Higher
Fed independence	5y5y at 2.34% remains anchored but rose 12 bps last quarter. Warsh's firm 2% stance helps, yet political pressure highlighted at the Powell transition sustains an independence risk premium in long yields.	↑ Higher
Growth & labour	Payroll swings drive front-end pricing. September's weak report and revisions argue for the easing path and cap yields, though AI-driven capital demand could push neutral-rate estimates higher.	↓ Lower
Canada / BoC	The BoC normalises from 2.25% toward 2.65%, backed by Q2 GDP at 3.3% and tariff and energy inflation risk. A spread narrowing of 10 bps leaves Canada 10Y edging higher while US yields drift lower.	↑ Higher

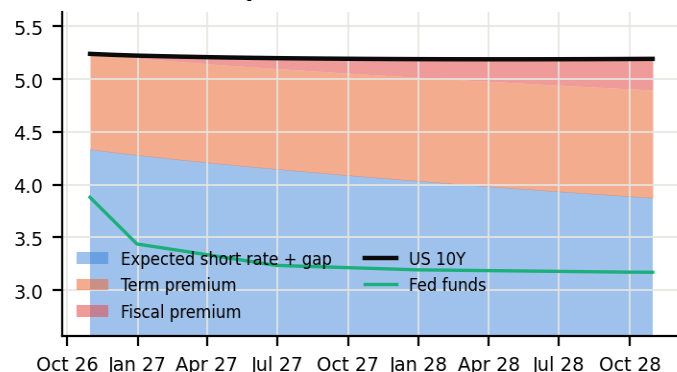
What to watch

- Monthly payrolls and revisions, which have been the swing factor for Fed hike or cut pricing
- Core versus headline CPI, 5y5y inflation expectations and Michigan survey expectations
- Treasury refunding auction demand and CBO deficit and debt updates
- Brent oil and escalation or de-escalation in the US–Iran conflict
- BoC rate decisions and the state of US–Canada tariff negotiations

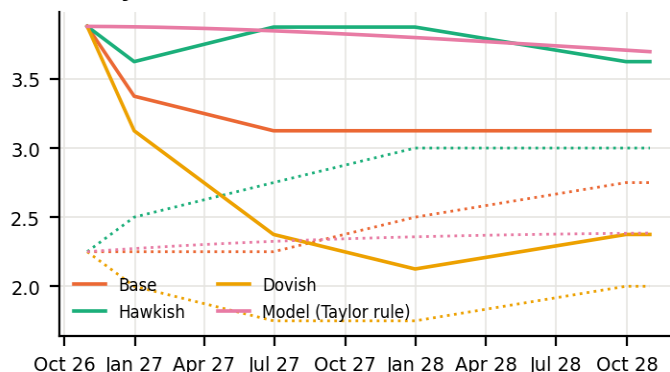
US 10Y — drivers

- Weighted fed funds falls 71 bps to 3.17%, yet expectations subtract only 3 bps from the 10Y because most easing is already in the curve.
- The largest offset is a -43 bp basis term, the model's current unexplained gap closing. Term premium (+12 bps) and fiscal premium (+30 bps) counter it.
- Term premium rises from 0.90% to 1.02%, near its 1.04% 30-year anchor: risk premia stay elevated rather than normalising.
- Scenario outcomes cluster at 5.11–5.41% because the fiscal premium is identical across scenarios. The 3.79–6.58% 10–90% band better reflects true uncertainty.

US 10Y decomposition (%)



Policy-rate scenarios (%): Fed solid, BoC dotted



Canada 10Y — spread and policy

- Canada 10Y edges from 3.94% to 3.99% as the BoC lifts its policy rate from 2.25% to 2.65%, still below its 2.75% neutral.
- The Canada–US spread narrows from -130 to -120 bps. With a 0.81 beta, Canada still imports most US term-premium and fiscal shocks.
- The hawkish case lifts Canada 10Y to 4.21%. The 10–90% range is 2.84–5.23%.

Scenarios

Scenario	Weight	Fed end	BoC end	Fiscal prem.	US 10Y end	Canada 10Y end
Base	55%	3.12%	2.75%	+30 bp	5.14%	3.94%
Hawkish	20%	3.62%	3.00%	+30 bp	5.41%	4.21%
Dovish	15%	2.38%	2.00%	+30 bp	5.11%	3.91%
Model (Taylor rule)	10%	3.70%	2.39%	+30 bp	5.16%	3.96%

Risks to the outlook

↑ Upside (higher yields)

- Inflation re-accelerates and the Fed holds near 3.62% (hawkish, 20%): US 10Y reaches 5.41%, about +22 bps versus the weighted path.
- Fiscal consolidation fails and a debt supply shock widens the term premium by 30–50 bps beyond the 30 bp already assumed.
- Middle East escalation pushes energy into core inflation and 5y5y, skewing yields toward the 6.58% 90th percentile.

↓ Downside (lower yields)

- A recession triggers aggressive Fed cuts. The dovish case is only 5.11%, but a deeper growth shock could move toward the 3.79% 10th percentile.
- The term premium reverts toward fair value. Removing a third of its 104 bp excess would subtract roughly 35 bps.
- A credit event, flight to quality or AI-led disinflation compresses yields by a rough 25–50 bps.

Conclusion

We expect a range-bound US 10Y near 5.2% and Canada 10Y near 4.0% through 2028. This is a scenario-weighted call with wide bands and limited edge over a random walk. A worse fiscal path or sticky core inflation would push us higher, while sustained labour weakness or term-premium normalisation would pull us lower.

Methodology: monthly structural model, US 10Y = expected average short rate (policy scenarios, convergence to a 3.125% neutral Fed rate) + term premium (target 1.039%, historical 30y); Canada 10Y = US 10Y + Canada–US spread driven by the BoC–Fed policy differential (BoC neutral 2.75%). Bands from a block bootstrap of historical monthly changes around the probability-weighted scenarios. Data: FRED, Bank of Canada, NY Fed ACM. Commentary drafted by Claude (claude-opus-5-5). Draft for review — not investment advice.

Macro theme sources (web research, reviewed by the forecaster): [1] July 2026 FOMC Recap - MUFG Research (www.mufgresearch.com); [2] FOMC Minutes, July 28–29, 2026 (www.federalreserve.gov); [3] FOMC Statement: July 2026 (am.jpmorgan.com); [4] Fed rate decision September 2026: Rates rise to 3.75%-4% (www.cnbc.com); [5] Fed's Interest Rate Decision: September 16, 2026 - dshort - Advisor Pe (www.advisorperspectives.com); [6] 10-year Treasury yield hits 5% before reversing as traders await Fed m (www.cnbc.com); [7] 10-year Treasury yield hits highest level since 2007 as traders bet a (www.cnbc.com); [8] The 10-year Treasury yield is at its highest in nearly two decades. Ho (www.cnbc.com); [9] Treasury Yields Snapshot: July 17, 2026 - dshort Post Recommendation - (www.advisorperspectives.com); [10] Treasury Yields Snapshot: September 25, 2026 - dshort - Advisor Perspe (www.advisorperspectives.com); [11] Treasury Yield Curve Today — Every Maturity, Daily (spotthemoney.com); [12] US CPI August 2026: Inflation Picks Up as Gas Prices Surge (www.usinflationcalculator.com)